

A BEGINNER'S GUIDE TO

MARGIN TRADING



CHANDLER EXPLAINS. JOEY... TRIES.

PS5s, GTA 6 & a lesson in trading

SWIPE TO LEARN →

THE SETUP

A PS5 COSTS RS. 200,000

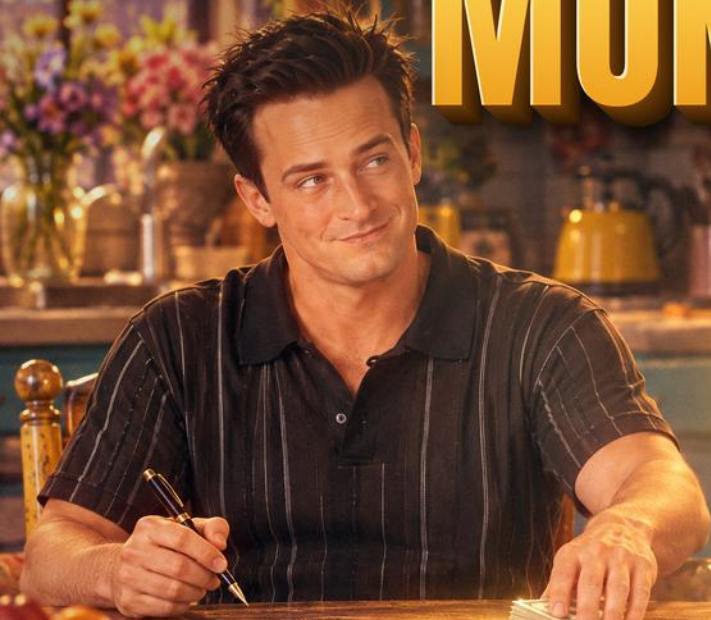


That's the price **today**.

But Chandler thinks **GTA 6** is coming soon, so PS5 prices will **rise**.

THE DEAL

THE TOKEN MONEY



Chandler pays a token amount of **Rs. 10,000** as **margin** to lock the PS5 at **Rs. 200,000**.

30 days from now, he buys the PS5 for **Rs. 200,000**.

SCENARIO 1

GTA 6 RELEASES!

30 days later, the PS5 goes up to **Rs. 220,000**.

Chandler gets it at **Rs. 200,000** and sells it at **Rs. 220,000**. He only paid **Rs. 10,000** as margin upfront.

SCENARIO 2

GTA 6 GETS DELAYED



30 days later, the PS5 drops to **Rs. 180,000**.

Chandler bought at **Rs. 200,000** and now sells at **Rs. 180,000**, so he bears a **loss of Rs. 20,000**.

WHAT DID CHANDLER ACTUALLY CREATE?



A **margin contract / trade**: a financial agreement to buy or sell an asset at a **fixed price** on a **future date**, by paying a **small upfront amount**.

PLOT TWIST

NOW REPLACE THE PS5 WITH A COMMODITY



People make similar agreements on the **Pakistan Mercantile Exchange (PMEX)**.

This is called **Margin Trading**.

TERMS USED IN

MARGIN TRADING



PS5 • Underlying Asset

Rs. 200,000 • Futures Price

Rs. 10,000 • Margin

30 Days Later • Expiry Date

Chandler's Deal • Margin Trade

THE WHY

WHY DO PEOPLE TRADE ON MARGIN?



- They think prices will **rise**.
- They think prices will **fall**.
- They want to **lock in today's price** and **reduce risk**.

THE TAKEAWAY

THAT'S HOW MARGIN TRADING WORKS

A promotional graphic for a video about margin trading. It features two men, one in a dark striped shirt and the other in a light blue shirt, sitting on a brown tufted couch and high-fiving. A glowing lightbulb is positioned above the high-five. The background is a dimly lit room with a city skyline visible through a window. A coffee mug and a small box are on a table in front of them.

Margin trading lets you trade **futures contracts** by paying a small upfront amount known as **Margin** or **Token Money**.

SAVE THIS • SEND IT TO YOUR JOEY

For education only. Margin trading carries a risk of loss.